

S004 - Account Decision Record: Suspension Review and Reinstatement

Decision Record | Operations

Document ID	PRJ-S004-003	Seller ID	S004
Department	Operations	Classification	RESTRICTED
Owner	Neha Gupta	Created Date	2026-09-10
Related Scenario ID	SC-012, SC-006	Document Type	Decision Record

1. Decision Summary

Field	Value
Decision ID	DR-2026-047
Seller	S004 - StrideOne Footwear
Suspension date	2026-09-08
Decision date	2026-09-10
Decision owner	Neha Gupta, Operations
Concurring	Admin (IT), Aditya Verma (Business, consulted)
Scenario	SC-012, with SC-006 as contributing cause
Classification	RESTRICTED - account risk determination
Status	Suspension lifted, corrective action plan agreed

Decision: lift the automated suspension of S004 with immediate effect, record the event as platform-caused, waive the associated commercial consequences, and recalibrate the triggering risk rule.

2. What Triggered the Suspension

The automated risk rules engine suspended all S004 listings at 02:14 IST on 8 September 2026. Two conditions were satisfied simultaneously:

Condition	Threshold	Observed	Window
Return rate	Above 25 percent	26.4 percent	Trailing 30 days
Settlement chargeback ratio	Above 1.5 percent	1.9 percent	Trailing 30 days

Either condition alone would have produced a review flag. Both together triggered automatic suspension without human review, which is the designed behaviour of the rule.

3. Review Findings

3.1 The Return Rate Was Platform-Caused

The elevated return rate is attributable to the size chart defect recorded in SC-006. A schema update to the dropship feed importer on 14 July 2026 applied the UK-to-EU size conversion twice, publishing size charts two sizes smaller than the physical product. Customers received footwear that did not fit and returned it. The

dominant return reason code across the period was size-too-small.

StrideOne did not author the defective data, could not have detected it from its own systems, and reported the pattern to Support on 5 August 2026, which is how the defect was found.

3.2 The Chargeback Ratio Was Downstream of the Same Cause

The chargeback ratio rose because a proportion of customers who received the wrong size initiated a payment dispute rather than a return, particularly where the return window had lapsed while they sought an exchange. The ratio is therefore a second-order effect of the same defect.

3.3 The Metric Lagged the Fix

Corrected size charts were published on 19 August 2026. By the week ending 6 September the weekly return rate had fallen to 13 percent. The risk rule evaluated a trailing 30-day average, which still included the peak weeks.

The rule suspended an account for a condition that had been resolved three weeks earlier.

3.4 No Evidence of Seller Conduct Issues

Review of the account found no misrepresentation, no counterfeit reports, no partner compliance findings and no pattern of customer complaints unrelated to sizing. Order defect rate excluding size-related returns was 4.1 percent, within the Gold tier threshold.

4. Decision and Rationale

The suspension was lifted at 16:40 IST on 10 September 2026.

The rationale is that the Account Suspension Policy exists to protect customers from seller conduct that creates harm. It is not intended to penalise a seller for the consequences of a platform defect. Applying it here would have transferred the cost of a platform engineering error onto a seller who reported that error.

Three further determinations were made.

1. The suspension is recorded in the account risk history as

platform-caused and is excluded from future risk assessment for this account.

2. Commercial consequences arising from the suspension are waived: the

returns reserve adjustment is reversed and reverse logistics cost for the affected period is absorbed by the platform.

3. The triggering rule is recalibrated before it can suspend this account

again; until recalibration is complete, any S004 suspension requires manual review.

5. Corrective Action Plan

ID	Action	Owner	Target	Status
CA-1	Confirm corrected size charts across full catalogue	Vikram Singh	2026-09-12	Complete
CA-2	Structural feed validation active	Vikram Singh	2026-08-19	Complete
CA-3	Reverse reserve adjustment in 15 September cycle	Settlement desk	2026-09-15	Complete

ID	Action	Owner	Target	Status
CA-4	Exclude known platform defects from risk evaluation	Neha Gupta	2026-10-16	In progress
CA-5	Shorten trailing window and add trend component	Neha Gupta	2026-10-16	In progress
CA-6	Manual review gate for S004 suspensions until CA-4 and CA-5 close	Neha Gupta	2026-09-10	Active

6. Impact Recorded

Item	Value
Suspension duration	2 days, 14 hours
Estimated lost sales	INR 6,40,000 per day, INR 12,80,000 total
Reserve adjustment reversed	INR 3,10,000
Reverse logistics absorbed	INR 8,70,000
Compensation paid to seller	Nil, by agreement

StrideOne did not seek compensation for lost sales. Karan Mehta's position, recorded on the call of 9 September 2026, was that reinstatement, waiver of the commercial consequences and a fix to the rule were sufficient.

7. Policy Observations

The Account Suspension Policy permits automated suspension without human review when two or more risk conditions are simultaneously breached. This review does not recommend removing that capability: for genuine conduct issues, speed matters.

It does recommend two policy amendments:

1. Automated suspension should be blocked where a recorded platform defect is linked to the account and is causally related to a triggering metric.
2. Any metric used as an automated suspension trigger should incorporate a trend component, so that a resolved condition cannot trigger a suspension from historical data alone.

Both recommendations are with the policy owner for the next revision.

8. Related Records

- SC-006 engineering incident INC-2026-0805 records the size chart defect.
- Support ticket TKT-2026-0908-341 records the seller's suspension query.
- Call CALL-2026-0909-074 records the discussion with Karan Mehta.
- The Account Suspension Policy defines the rule and the review mechanism.
- The catalogue quality programme status report tracks the remaining actions.